

Applicable Law Acts

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User Query :

I registered on an online lending application and allowed access to my contacts because the app said it was necessary for processing the loan. After I missed one instalment, the company began calling people from my contact list and telling them about my loan. Some contacts also received messages containing my photograph and personal details. I never agreed to this use of my information. What legal provisions may apply?

Job Id. : Scenario 9/Combined Act

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INFORMATION TECHNOLOGY (IT) ACT, 2000

APPLICABLE SECTIONS

Section 72A	(Unauthorized disclosure of personal information)
Section 66E	(Violation of privacy via transmission of private images)

INTERPRETATION & LEGAL ANALYSIS

AI-generated legal interpretation

- 1
- The lending app obtained contact data under the guise of "loan processing" (constituting "lawful possession" under **Section 72A**). Subsequent disclosure of contacts' names, phone numbers, and the user's photograph *without consent for debt collection* violates: **Section 72A** : Misuse of data beyond the scope of initial consent (validated by *Puttaswamy v. Union of India* and *R. Rajagopal v. State of Tamil Nadu*). **Section 66E** : Unauthorized transmission of the user's photograph in messages to contacts (as per *State of Maharashtra v. Pradeep Kumar*). The app's claim of "loan processing necessity" is legally invalid; consent for one purpose (loan processing) cannot justify unrelated disclosure (debt collection).

✓ STRENGTHS & RIGHTS

- 1
- Direct criminal liability for the app (**Section 72A (2)** and **66E**).
- 2
- Remedies include damages (**Section 72A (2)**) and criminal penalties (up to 3 years imprisonment + fine).
- 3
- Consent limitation principle (*Puttaswamy*) invalidates the app's defense.

✗ RISKS & OBLIGATIONS

- 1
- For the user**
Evidence challenges (requires **Section 65B** -compliant digital proof); enforcement delays due to under-resourced cyber cells.

2

For the app
Penalties include up to ₹5 lakh fine (**Section 72A**) and ₹1 lakh fine (**Section 66E**).

PROCEDURAL NOTES & COMPLIANCE STEPS

Actionable steps for compliance and grievance redressal

COMPLIANCE STEPS

1. 1. File a complaint with Indian Cyber Crime Coordination Centre (I4C) or local Cyber Cell, attaching:
2. Screenshots of privacy policy (showing no consent for third-party sharing).
3. Call logs/messages with user’s photo/details.
4. Proof of missed installment (to counter "loan default" justification).
5. 2. Submit electronic evidence under **Section 65B** (certified by "Person in Charge of the Computer").
6. 3. File civil suit for damages under **Section 72A** (2) alongside criminal complaint.

DIGITAL PERSONAL DATA PROTECTION ACT (DPDP), 2023

APPLICABLE SECTIONS

Section 6	(1) (Consent must be specific and limited to purpose)
Section 12	(1) (Prohibition on processing beyond original purpose)
Section 14	(1) (Notice obligation for all processing purposes)
Section 16	(1) (Security measures for data protection)

INTERPRETATION & LEGAL ANALYSIS

AI-generated legal interpretation

- 1 The app violated core DPDP principles: **Section 6** (1): Consent for "loan processing" was not specific to debt collection; contacts are irrelevant to loan processing (unlike KYC). **Section 12** (1): Processing contacts for debt collection exceeded the original purpose (loan processing). **Section 14** (1): Failure to notify the user that contacts would be used for debt collection. **Section 16** (1): Inadequate security measures led to unauthorized photo disclosure (violating "reasonable security"). No "legitimate use" exception applies* (**Section 4** (1)(b)), as debt collection via contact lists violates consent and purpose limits.

✓ STRENGTHS & RIGHTS

- 1 **Right to restrict processing (Section 13 (1))**
Demand halt to debt collection calls.
- 2 **Right to notice (Section 14 (1))**
Require disclosure of all processing purposes.
- 3 **Right to compensation (Section 42)**
Seek damages for harassment/reputational harm.
- 4 **Stronger remedies than IT Act (e.g., DPB can order injunctions, delete data).**

✗ RISKS & OBLIGATIONS

- 1 **For the app**
Penalties up to ₹250 crore (**Section 43**) for violations of Sections 6, 12, or 14.
- 2 **For the user**
Requires initial grievance to bank's officer (**Section 14** (2)) before DPB escalation.

PROCEDURAL NOTES & COMPLIANCE STEPS

Actionable steps for compliance and grievance redressal

COMPLIANCE STEPS

1. 1. First step: File grievance with bank's *grievance officer* (**Section 14** (2)).
2. 2. If unresolved in 30 days: Escalate to Data Protection Board (DPB) via online portal (**Section 14** (3)).
3. 3. DPB actions:
4. Issue cease-and-desist orders (**Section 41**).

5. Direct compensation (**Section 42**).
 6. Impose penalties (up to ₹250 crore) or order audits (**Section 35**).
 7. 4. Evidence: Preserve app's privacy policy (to prove undisclosed purpose) and contact messages.
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